



Elite Option Trader's Playbook

Support and Resistance

Instruments: Options

Trading Style: Swing Trading

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Playbook Overview

This strategy is built around the idea that the **biggest opportunities in trading come from key support and resistance levels on higher timeframes**, especially when they align with major news or data catalysts. By focusing on daily and weekly chart levels and waiting for the right event-driven confirmation, traders can identify high-probability setups with the potential for outsized returns, without overtrading or relying on low-timeframe noise.

This playbook is especially suited to options traders looking to grow smaller accounts by patiently waiting for high-conviction moments, then executing with discipline and risk control.

Build the Right Foundation First

Before getting to technical setups, this strategy emphasizes the mindset of a successful trader:

- **Emotional stability** – stay neutral through wins and losses.
- **Risk/reward awareness** – understand not every day is a trade day.
- **Focus on learning** – prioritize skills and knowledge over fast profits.

New traders often do the opposite, chasing money and falling into FOMO and anxiety. Without the right mindset, even the best strategy will fail.



Playbook Rules

Options Style:

Weekly or monthly contracts

Identifying Key Levels

- Use weekly and daily charts to find key levels.
- Identify major support/resistance levels from past market highs, lows, and reactions on daily/weekly charts.
- Round psychological numbers like 5000, 6000, or 7000 on SPX tend to act as strong magnets.

Context + Catalyst Alignment

The strategy thrives on the convergence of:

- Price reaching a key level.
- Catalyst providing the volatility needed to trigger a large move.
- Catalyst examples:
 - FOMC Meetings
 - CPI/NFP Releases
 - Earnings Reports (esp. Nvidia, Apple, etc.)
 - Geopolitical Events (e.g., tariffs, elections)

Only take trades when the technical level and fundamental catalyst align. Avoid trading key levels without a strong catalyst — low probability setups tend to fail or chop.

Confirmation Before Entry

Don't enter blindly. Wait for confirmation:

- A strong bounce or rejection from the level.
- Multi-day hold or reclaim of the level.
- Clear shift in sentiment post-catalyst.

Patience is critical — even if the level is perfect, wait for the market to validate your idea.

Sizing for Zero

- Use Brando's "Size for Zero" method — risk what you're comfortable losing completely, rather than using a tight stop.

Example:

- Instead of risking \$5,000 with a 20% stop, size your total trade to \$1,000—fully acceptable loss if the trade goes to zero.
- This allows you to hold through volatility and target massive R multiples (5x, 10x+).

This mindset builds emotional control and avoids premature exits.

Pros & Cons of the Strategy

This model is designed to deliver high-quality, repeatable setups — but like any trading method, there are key things to understand before using it.

Note: The cons listed here aren't disadvantages. They are things to be aware of — important characteristics that require patience, discipline, and proper management to make the model work effectively.

✓ Pros

- **High Probability:** 80% win rate when technicals and news align.
- **Scalable:** Can grow accounts fast during high-conviction setups.
- **Discipline-Driven:** Encourages patience, planning, and proper risk.

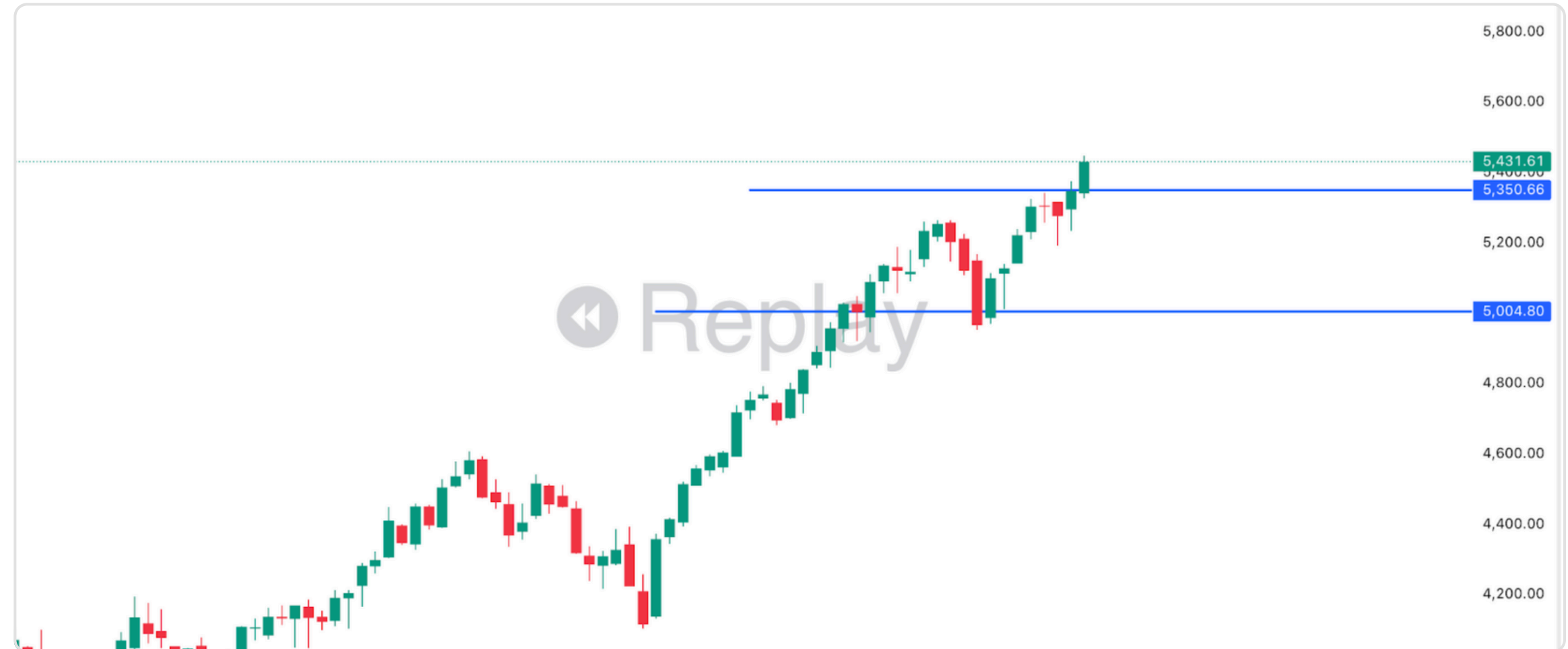
✗ Cons (Things to Be Aware Of & Manage)

- **Requires Patience:** Occasionally, there are only a few ideal setups per year.
- **Execution Pressure:** Need to be mentally and technically ready when the level and catalyst align.

Trade Breakdown

Example 1: SPX Long from 5000 (May 2024)

- **Setup:** After a multi-week consolidation, the S&P 500 pulled back to the psychological 5000 zone, a major support area on the weekly chart.
- **Technical Context:** Price formed two higher weekly lows following the initial test of 5000, signaling strength and establishing a potential reversal base.
- **Catalyst:** Nvidia delivered a massive earnings beat, jumping over 25%, while inflation data showed signs of cooling and the labor market appeared to be stabilizing. Together, these developments supported bullish sentiment across the tech sector and the broader market.

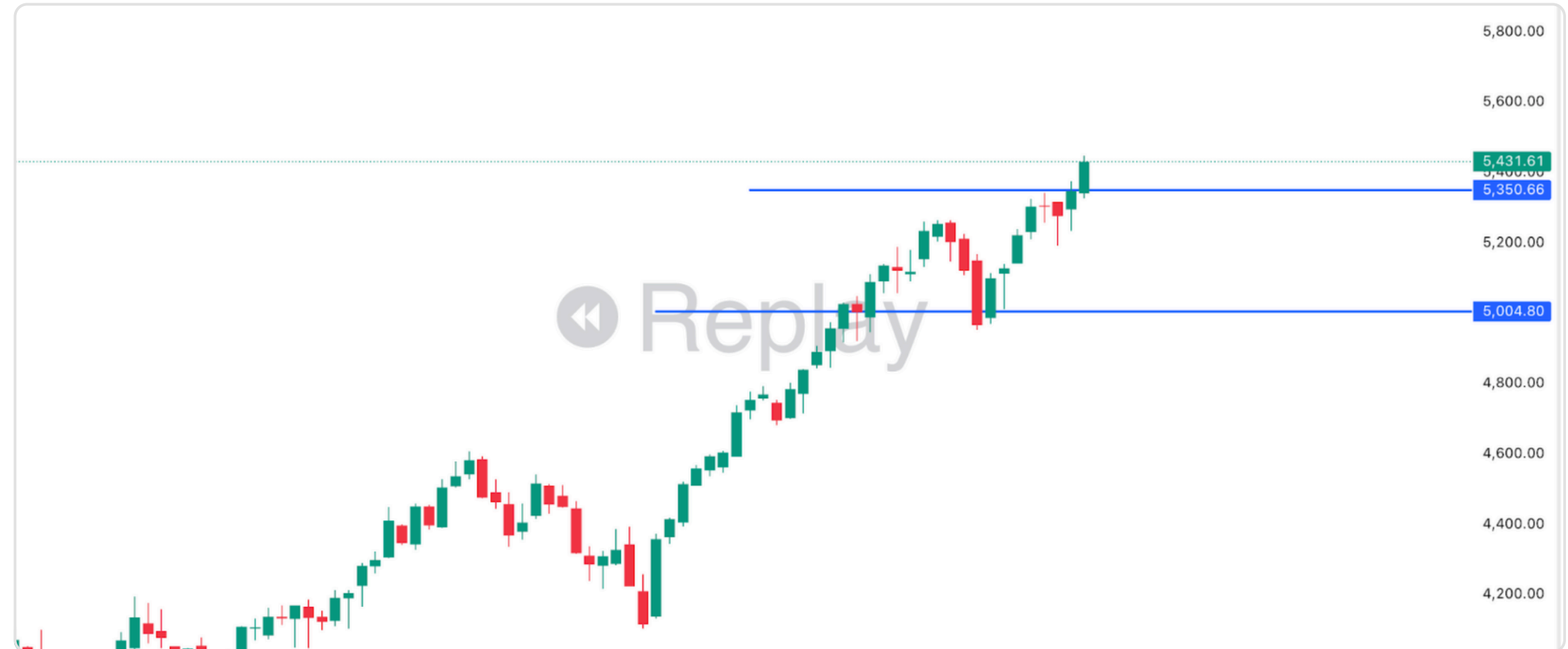


- **Entry:** Calls were initiated in the 5150–5160 range after confirmation through price structure and improving macro signals.
- **Outcome:** SPX rallied over 200 points in two weeks, and the position returned over seven figures in gains. This was a high-conviction trade based on level, news, and confirmation.

Trade Breakdown

Example 2: SPX Breakout Post-Election (November 2024)

- **Setup:** In the months leading into the election, SPX was range-bound, consolidating below the 5700 level.
- **Technical Context:** The 5700 resistance zone had acted as a ceiling for weeks. The post-election gap and hold above this level confirmed a breakout.
- **Catalyst:** After Trump's re-election, the market gapped up on optimism around pro-growth policies and deregulation. This served as the macro driver for trend continuation.



- **Entry:** Long calls were taken once the price reclaimed and stabilized above 5700.
- **Outcome:** SPX rallied over 400 points within a month, peaking near 6147. A clean example of technical breakout aligned with a major political catalyst.

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Replay

Support and Resistance

Swing trading

Options

A high-probability swing trading playbook that combines major support and resistance levels with news catalysts. Perfect for options traders who want big moves without chasing low-quality setups.

Watch video

Win rate

0%

Trades

0

Profit factor

0

Daily win rate

0

Avg trade duration

0

Win/Loss

0

Stats

Rules

Trades

Backtesting

Notes

	Follow Rate	Net Profit / Loss	Profit Factor	Win Rate
Playbook Criteria				
Price at key support or resistance (daily/weekly)	0 %	\$0	N/A	0 %
Big catalyst (news or data)	0 %	\$0	N/A	0 %
Price reacted (bounce, reject, break + hold)	0 %	\$0	N/A	0 %
Size for zero	0 %	\$0	N/A	0 %

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